

Equity Momentum Swing Beast

Using Options

Options Trading

Due to the time based nature of these trades, they lend themselves nicely to options trading

I won't be teaching you about options trading

You can get lot's of great free information about options trading at sites like optionsplaybook.com

Advantages of using options

Can trade a much smaller account and still apply good position sizing rules and risk management

Can increase asymmetry

Knowing limited time in trade helps identify strikes/expiration

160.60 0.40 161.00

2

25 Days in
160.90

Simple entry 143.88
Complex entry 144.81

D

E

D

MACD 2.38

Signal 1.45

Histogram 0.93

SQN 1.32



\$AAPL Live Trade

Entry Oct 18 2021

Entry 143.88

Stop 139.01

R = 4.87

Exit 25-30 days later

Currently trading 25 days later at 160.90

Options Vs Stock

Arbitrary \$5,000 per position

\$AAPL Stock outright = 34 Shares

.70 Deltas Jan 135 @ 14.50 = 3 contracts

.50 Deltas Jan 145 @ 7.70 = 6 contracts

.15 Deltas Jan 165 @ 1.35 = 37 contracts

Results

Strike/Expiry	Delta	Entry Price	Size	Amount	Current Price	Current Value	Profit/Loss
Jan 135	70 Delta	1450	3	\$4,350.00	\$2,630.00	\$7,890.00	\$3,540.00
Jan 145	50 Delta	770	6	\$4,620.00	\$1,730.00	\$10,380.00	\$5,760.00
Jan 165	15 Delta	135	37	\$4,995.00	\$460.00	\$17,020.00	\$12,025.00
AAPL	Stock	143.88	34	\$4,891.92	160.8	\$5,467.20	\$575.28

Buying the stock outright returned \$575.28 in profit

Buying the .15 Deltas (Deep out of the money (DOTM) calls returned a whopping \$12,025 in profit!

Still more than 2x the other options by simply choosing the right calls

RISKY RISKY RISKY

I know everyone is going to bring up the risk factor here

By stacking a high returning R multiple strategy built on top of multiple edges we increase our chances of outsized returns through a final technique, trading DOTM calls

There are a thousand variants to the way we trade this, covered calls, spreads, just buying the stock, or high Delta calls

You are in control of your risk here